

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

February 2009

Featured Companies:

AmeriCredit (ACF)
Capital One Financial Corp. (COF)
Pairs Trade: SLM Corp. (SLM) & Student Loan Corp. (STU)

Research Staff

Steven Bregman	Naveen Kumar
Thérèse Byars	David Leibowitz
Peter Doyle	Eric Sites
Michael Gallant	Fredrik Tjernstrom
Matthew Houk	Steven Tuen
Murray Stahl	

Horizon Research Group
470 Park Avenue South • 4th Floor • New York, NY 10016
(646) 495-7333



PCS Research Services
125 Maiden Lane 6th Floor New York, NY 10038
(212) 233-0100
www.pcsresearchservices.com

THE DEVIL’S ADVOCATE REPORT COMPENDIUM

Title	Page Number
<u>Musings</u>	
TALF and Its Historical Context	3
Differences between the Great Depression & the Current Panic	5
<u>Industry Thoughts</u>	
Companies that Would Benefit from the Revival of Securitization	8
<u>Featured Companies</u>	
AmeriCredit (ACF)	9
Capital One Financial Corp. (COF)	10
Pairs Trade: SLM Corp. (SLM) & Student Loan Corp. (STU)	11
<u>Appendices</u>	
Money Manager Index	13
International Money Manager Index	14

Murray's Musings

TALF and Its Historical Context

This report was recorded on February 9, 2009. On February 10, 2009, the Federal Reserve Board announced that it is prepared to expand TALF substantially to as much as \$1 trillion. It also could broaden the eligible collateral to include newly issued AAA-rated commercial mortgage-backed securities, private-label residential mortgage-backed securities and other asset-backed securities. The U.S. Treasury will support the expansion with additional funds from TARP. The comments below do not reflect the February 10th announcement.

It seems odd to talk about selling stocks short after the market has gone down 50%. Obviously, in such an environment we're reluctant to sell stock short, since the not inconsiderable problems of many companies are heavily reflected in the prices of their securities. Nevertheless, there are some interesting subjects to discuss. The focus of this section will be on two topics. The first is the Term Asset-Backed Securities Loan Facility program sponsored by the New York Federal Reserve, familiarly known as TALF. The terms for TALF were announced on Friday, February 6, 2009.¹ The second topic discusses the uniqueness of TALF in a historical context.

It's interesting that the TALF program has not attracted much scrutiny by the press, though I think it should have. TALF is a \$200 billion facility that offers three year loans on a non-recourse basis to eligible borrowers for the purpose of buying securities of so-called eligible asset-backed bonds. Those securities will be used as collateral for the non-recourse loans granted by the New York Fed to the buyers.

On Friday, the New York Fed published its table of how much it would lend based on the market value of each instrument. There are some restrictions on these loans. The first restriction is that the asset-backed securities themselves must have the highest possible rating from two or more nationally registered rating agencies which, in many cases, may not be possible to obtain. All bonds that are eligible for the program must be issued subsequent to January 1, 2009, and be composed of loans that were originated subsequent to October 1, 2007. By law, any principal payment or remittance from the asset-backed securities themselves must be used to reduce the Fed loan in proportion to the original loan value.

The United States Treasury Department will jumpstart the program. Under the Troubled Assets Relief Program (TARP), the U.S. Treasury will buy the first \$20 billion of asset-backed securities issued under TALF. The facility itself will cease making loans on December 31, 2009, unless the Board of Governors of the Federal Reserve extends the program beyond that date.

¹ This report was recorded on February 9, 2009, prior to announcement of the program expansion.

THE DEVIL’S ADVOCATE REPORT COMPENDIUM

Table 1: TALF Haircuts

Preliminary collateral haircuts are as follows:

Sector	Subsector	ABS Expected Life (years)						
		0-1	2-Jan	3-Feb	4-Mar	5-Apr	6-May	7-Jun
Auto	Prime retail lease	10%	11%	12%	13%	14%		
Auto	Prime retail loan	6%	7%	8%	9%	10%		
Auto	Subprime retail loan	9%	10%	11%	12%	13%		
Auto	Floorplan	12%	13%	14%	15%	16%		
Auto	RV/motorcycle	7%	8%	9%	10%	11%		
Bank Card	Prime	5%	5%	6%	7%	8%		
Bank Card	Subprime	6%	7%	8%	9%	10%		
Retail Card	Prime	6%	7%	8%	9%	10%		
Retail Card	Subprime	7%	8%	9%	10%	11%		
Student Loan	Private	8%	9%	10%	11%	12%	13%	14%
Student Loan	Gov’t guaranteed	5%	5%	5%	6%	7%	8%	9%
Small Business	SBA loans	5%	5%	5%	5%	6%	7%	8%

Source: www.newyorkfed.org/markets/talf_terms.html

In Table 1 is listed a series of so-called haircuts, or discounts, that the New York Fed will apply to the market values of the instruments in question for the purpose of making loans. For example, on a prime bank credit card asset-backed security with an expected life of one to two years, the so-called haircut is 5%. That means that the Fed will lend the borrower 95% of the market value of that asset-backed security. It’s important to note that it’s almost certain to be a newly issued asset-backed security (ABS). The discount, or haircut, on auto loans for a life of one to two years is 7%. Looking at the table, the weighted average discount, based on borrower preference, can be as low as 5%, or as high as 14%.

To place this program in context, 2004 was in the bubble period, or the pre-bubble period, depending on how one views history. According to Thompson Financial, ABS issuance in 2004 was \$857 billion; therefore, a fully extended program would absorb ABS issuance greater than that of a good bubble year. That amount assumes that the only capital attracted to the ABS market would be via the TALF program. It is conceivable, though perhaps not likely, that other capital would be attracted to the ABS market, and that loans would be obtained from different sources. It’s impossible to say; however, whether or not that’s a likely scenario. This program is a huge seminal event and, in my opinion, should be treated as such.

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

Differences between the Great Depression & the Current Panic

The TALF program is important in its own right and merits scrutiny not only for its intended effect on the credit markets, but also because it is absolutely without historical precedent. Many allude to similarities between the current environment and that of the Great Depression, but I think it is a great misreading of history to consider the two periods to be even remotely analogous. To that effect, what follows is a list of 12 obvious differences between them, though the list could easily have extended to 24 or 36 features.

1. Currently we have the Social Security System, but it did not exist during the Great Depression; it hadn't yet been created. That system is a not insubstantial buffer against economic problems.
2. There was no unemployment insurance.
3. The size of the government sector was radically different. In the current environment, the United States government employs over 22 million people out of a workforce of perhaps 150 million. The government employs roughly 15% of all the employed persons in the country. There was nothing remotely comparable to that in the Great Depression.
4. The size of so-called stable sectors of the economy differs from those of the Great Depression. The government was just referred to in number 3, and there is also healthcare, which exceeds 12% of GDP. That sector is not much affected by economic cycles, which makes it relatively stable. There was no parallel to that kind of stability in the Great Depression; it's very difficult to find a stable sector for that time. Even the food sector, which today is regarded as fairly stable, was anything but that during the Great Depression, because people dramatically changed their food consumption preferences.
5. The policy of the Federal Reserve regarding monetary expansion in the current environment has been, if anything, massive. By contrast, in the Great Depression the Federal Reserve actually permitted, and some would argue even encouraged, the money supply to shrink. That in itself is a salient difference.
6. The willingness of Congress to enact spending programs is greater now than it was in the 1930's. There was nothing comparable to the current spending proposals at any time during the Great Depression, even during the Roosevelt Administration.
7. Another very important difference between the Depression era and the current one is that in 1932 there was a massive tax increase. The top bracket increased from 25% to 63%. There were other increases as well: user fees, various tariffs and certain fees to states increased with a view to gaining revenue. The rise in taxes

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

and fees was regarded as necessary to balance the budget. That situation is completely different from the current environment.

8. The mortgage market was completely different. The idea of a self-amortizing loan for real estate didn't exist. A so-called prime real estate loan in the world before the Great Depression generally required a 50% down payment. It's hard to imagine, but that's what was required. There was a lively market for second mortgages, because so few people had the wherewithal necessary to make a 50% down payment. Second mortgages carried interest rates anywhere from 8% and 25%. That was the then equivalent of the now sub-prime market. Lending was far, far more restrictive.
9. Another difference, which is much more subtle, but very profound, is the reality of many two-wage-earner families. In the Great Depression, there weren't very many two-wage-earner families; there were mostly one-wage-earner families. Unemployment insurance and other factors aside, if the breadwinner lost employment, the family was left destitute. The prevalence of two-wage-earner families in the current era is a major difference.
10. In item number 6, I alluded to the willingness of Congress to enact legislation aimed at correcting the economic problems in each era. In July 1932, for example, after seven or eight months of debate, Congress passed the Federal Home Loan Bank Act. Even the passage of that Act required a variety of procedural maneuvers to secure approval when the opposition was off guard. It's no accident that the legislation was passed in the summer but, even so, the opponents managed to change the legislation to require that the Federal Home Loan bank could only accept a mortgage loan that had a loan-to-value ratio of 50% or more, which defeated the whole purpose of its enactment.
11. There's a significant difference in the type of legislation enacted to combat The Great Depression and the legislation currently proposed. The National Industrial Recovery Act was the first major piece of legislation enacted during the Great Depression era. It was designed to deal with overproduction, as the problem was then described by noteworthy economists. It was believed that one factor causing the Great Depression was having too many factories, stores and developed real estate. If there were too many goods and services available for purchase, the proposed remedial measure was to reduce the available supply of them as a way of restoring the pre-depression equilibrium.

Under that Act, The National Recovery Administration was authorized to place restrictions on business such as limiting the number of hours of operation. The idea was that limiting the hours of operation of various retail establishments would ensure the survival of more retailers. Of course, when retailers are open for fewer hours, they naturally require fewer employees, not more.

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

12. Another provision was called the Agricultural Adjustment Act. It was aimed at reversing what was then believed to be excess production of agricultural commodities. Under the Agricultural Adjustment Act, farmers were paid for not growing crops. In the course of three years, the amount of planted acreage was reduced by about 25%. Of course, such a significant reduction of planted acreage meant a reduction in the necessary labor force, farm machinery and other accoutrements of agriculture.

The Agricultural Adjustment Act was ruled unconstitutional by the United States Supreme Court in the case of the United States versus Butler in 1935, but that didn't stop the government from continuing its policies. The Agricultural Adjustment Act was reenacted in the form of the Soil Conservation and Domestic Allotment Act. Instead of giving the government authority to reduce acreage as a cure for overproduction believed to be a cause of the Great Depression, it gave the government the de facto power to reduce planted acreage in the interest of conserving the soil. Thus, it presented the Act as ecologically friendly. Obviously, as noted above, reduction of planted acreage will diminish, not increase, GDP.

One of the unintended consequences of the Agricultural Adjustment Act was that a large farmer could evict tenant farmers and sharecroppers as a way of reducing production. The farmer would, of course, forego the rent paid by the sharecropper or tenant farmer, but would instead receive a much larger Federal subsidy. As large farmers responded to that incentive a great number of small farmers and laborers were driven off the land, leading to a great migration into cities of people in search of jobs in industrial areas. The consequences of the Agricultural Adjustment Act took several decades to reach culmination, and the consequences are still visible today. Obviously, it was a factor that increased unemployment, although the intent was the opposite. It's likely that when the events of the current era are examined in the cold light of retrospective history, many of the proposals being considered right now will be seen as damaging rather than helpful.

These comments present an encapsulated view of history and, as such, a great distortion. Nevertheless, it should serve to illustrate how radically different the current environment is from that of the Great Depression. I don't mean to understate what the current problems might be, since it's possible that they are even more severe than those of the Great Depression. Severity aside, however, the problems of the two eras are very different, and the government responses are even more dissimilar.

Industry Thoughts

Companies that Would Benefit from the Revival of Securitization

In light of the inception of the TALF program, it seems reasonable to study those publicly traded companies that derived much of their business income from securitization. There are a variety of publicly traded financial companies that found it almost impossible to function, because the securitization market for their particular line of credit products was, as a practical matter, closed. It remains to be seen if the TALF program will successfully reopen those securitization markets; nevertheless, the presumption is that, if they were reopened, the companies that rely heavily upon securitization for their business health and well being would benefit.

Included in that group are: AmeriCredit (ACF), which is involved in auto loans; Capital One Financial (COF), involved in ordinary credit cards; Discover Financial (DFS), which issues the Discover Card, and is a much smaller version of Capital One; Student Loan Corp. (STU), a captive company of Citibank, which has its own problems and owns 80% of STU. Over the last 24 months, STU has seen its securitization income and securitization potential essentially vanish. The list continues with SLM Corp. (SLM), the former Sallie Mae, which is in much the same situation as STU. Even Fannie Mae (FNM) and Freddie Mac (FRE) are included since, even for them, the securitization market essentially stopped functioning.

It's worthy of note the TALF program does not propose to address the mortgage securitization issue. It confines itself to auto loans, credit cards issued by banks, credit cards issued by retailers, small business loans guaranteed by the Small Business Administration and student loans. Nevertheless, it can be reasonably presumed that, if TALF successfully reinvigorates securitization for the above mentioned facilities, since mortgages are certainly no worse, and probably provide greater security, than the mentioned facilities, the mortgage market might revive itself. Also, the New York Fed holds out the possibility that, if necessary, the program could be expanded to other asset classes that would include mortgages.

All of the above-mentioned companies would be in a position to benefit from the reopening of the securitization markets. In the following *Featured Companies* section various trades are outlined with a view to possibly profiting from this situation on a hedged basis. These are not long-only recommendations.

Featured Companies

AmeriCredit (ACF)

AmeriCredit Corp.² is an auto loan finance company with over one million customers. At the moment it has \$14 billion of managed auto receivables. In the past year, the finance receivables were down by \$2 billion, because the company has allowed them to roll off. With some exceptions, the company has not been able to dispose of them via the historically customary securitization route. As an aside, this situation exemplifies the dysfunctional nature of the shadow banking system. Many of those companies that had increasingly played a very important role in credit creation in the economy can no longer provide credit, because the markets they addressed have essentially ceased to function.

AmeriCredit is an example of what the finance companies have been doing to credit in America, despite the actions of the Federal Reserve to increase the money supply. A glance at the balance sheet of AmeriCredit demonstrates that the provision of credit is diminishing. Even given diminished finance receivables, AmeriCredit's allowance for loan losses has increased from 6.2% to 6.8%, and it might well increase further. As a consequence, at the moment, AmeriCredit trades at roughly half of book value, and that's a tangible book, such as it is.

As of Friday, February 6, 2008, the stock was trading at more or less \$5.50. The trade in question would be to buy the January 2010 put with a \$2.50 strike at roughly \$0.80 to place a floor under the security. The worst that would happen would be a 50% loss if conditions were to meaningfully deteriorate. At the same time, sell, or write, the January 2010 put with a \$20 strike price for a total premium of over \$15.00 with roughly \$0.70 of time value. The time value received for the January 2010 \$20 strike put would more or less offset the cost of the January 2010 \$2.50 strike put. One would be at risk for 50% but, if the TALF is successful in reviving the market, AmeriCredit might rise a great deal, and its projected earnings might rise disproportionately.

With a \$10.00 book value earning, let's say, 10% to 12% on equity, AmeriCredit could earn \$1.20, in which case its stock could trade at a price of \$14 per share. It's possible to have almost a 300% appreciation if the TALF program is successful. Of course, the trade could be reconstituted to pay a higher premium for a \$5.00 put without causing the at risk level to be dramatically different. Obviously, should the security appreciate in value the put, which is a liability, would be worthless, and the return would be earned by that modality.

² This company was featured in the *Contrarian Research Report*, September 10, 2008.

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

Capital One Financial Corp. (COF)

The circumstances of Capital One are very similar to those of AmeriCredit. Historically, Capital One had grown its balance sheet by double digits. With the rise of the credit problems that growth was clearly no longer sustainable, so Capital One's managed loans, despite the closure of the securitization market, are modestly shrinking. Capital One, like many other finance companies, has stopped providing new credit to the economy. In fact, it is gradually reducing the credit it has available. The company is focused upon increasing the equity on its balance sheet, and substantially increasing its Tier 1 risk capital. Based on the last available report, Tier 1 risk capital equals 13.6% of assets which, assuming that loan problems don't dramatically worsen, would make it one of the better capitalized providers of credit.

The company is planning for \$8.6 billion in net charge-offs during the next 12 months. If that happens, it would certainly be a record for Capital One. Despite the fact that the company is designing its balance sheet to be able to absorb those charge-offs, at the moment, the stock trades at 50% of tangible book value. The market is not necessarily assuaged, and it seems to believe that even more ill could befall Capital One, and perhaps they're right. The fourth quarter delinquency rate, as might have been readily expected, has increased from 3.66% to 4.37%, and it may well increase further.

The stock trades at \$14.50³, and the suggested trade is to buy a January 2010 put with a \$12.50 strike price for \$4.00. The possible two-point depreciation, and the premium on the \$4.00 put, is the extent of all the money that can be lost. At the same time, sell a January 2010 put with a \$60 strike price for roughly \$45 to \$46. Some of the time value partially offsets the risk of the stock going from \$14.50 to \$12.50, and one is at risk for the \$4.00 put.

If the TALF program successfully revives this market, it's highly likely that Capital One would trade over the company's \$29.00 book value. It is also likely that the company would be making money, as opposed to losing money, because it would once again have access to the securitization market. Historically, because of its potential for earning a high return on equity, Capital One traded at a substantial premium to book value. The credit card business is one of the few in which the government has yet to commit a great amount of capital, yet it is one that is absolutely critical for the recovery of the country.

The credit card business is one of the few areas of finance in which a company might earn a very high return on equity, because credit card interest rates remain so high, and the cost of funding is so low. If a recovery were achieved, it's not inconceivable that Capital One could make over 20% on equity, meaning that it could make over \$5.00 a share. At a 12x multiple, Capital One could trade at \$60.00, which is the reason for using a \$60 put on the other end of the trade.

³ On Friday, February 6, 2009.

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

Pairs Trade: SLM Corp. (SLM) & Student Loan Corp. (STU)

At the moment, SLM Corp., the former Sallie Mae, is one of the few finance companies that still trades above book value under the presumption that it will be able to return to the return on equity manifested in prior years. It's worthy of note that, with securitization profits as high as they were in 2004, SLM produced a return on equity of 73%, though it's a book number. It's hardly likely that the company will achieve return to anything like that one. If one presumes a 12% to 14% return on equity, which may be generous, the company would earn \$0.50 a share. That amount, however, probably wouldn't even support the current stock price.

If the TALF program is successful, SLM's securitization income might rise, perhaps substantially. In the last year, that income declined by 50% vis-à-vis the current year. SLM is one of the few finance companies for which the market generally takes the position that recovery is likely. The consensus earnings estimate for SLM is \$1.92 which I personally think is too high; nevertheless, that's the view on SLM.

I think a much better trade would be to buy Student Loan Corp., the captive company of Citigroup. Student Loan Corp. trades at two-thirds of book value, which is probably a hard book, since so many of the student loans are guaranteed by the government. The securitization income in Student Loan Corp. nearly reached a zero level in recent quarters; it was almost totally eliminated.

Should the market recover, and should the student loan companies be able to once again securitize loans, as intended by the TALF program, Student Loan Corp. would probably have \$10.00 of earnings power. The stock is now trading at \$53 per share⁴. Assuming a modest 10x multiple, the stock could be \$200.

A pairs trade would be to buy Student Loan Corp., and simultaneously sell short an equal dollar amount of SLM Corp. The idea behind this trade is that, if the program is a total failure, there would be more margin of safety in Student Loan Corp. than in SLM Corp. The market appears to be much more optimistic regarding SLM Corp. than it is with Student Loan Corp.

Q: *Would the 2x leveraged ETFs, or the ultras, make good shorts?*

A: If you thought that the market was going up, they probably would be good shorts, and if you thought that the market was going down, and you were willing to hold it for a long enough time period, you probably wouldn't lose a lot of money. That said, and despite the failure of the 2x ultras to produce what some people think their mission should have been, that situation did not stop another company called Direxion from issuing triple-short and triple-long ETFs a month and a half ago. As far as I can tell, they are enormously popular. The Direxion ETFs have not in any way diminished the popularity

⁴ On Friday, February 6, 2009.

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

of the ProShares Ultra series or the Rydex series of the same character. The continued growth of their popularity appears to stem from the fact that no one really intends to stay in for very many days.

Q: *You could stay short for a very long time, couldn't you?*

A: Yes, but if you're short those securities for brief periods of time, you could lose an incredible amount of money. For someone who is willing to be short that product and take the mark-to-market risk, it's probably an excellent short idea, though I think people have had enough mark-to-market risk in the last year.

If one were to consider selling short the ultra ETF and buying a call option to limit the exposure, the problem would be that the implied volatility the call option more or less reflects the risk, because ETFs of this type are designed algorithmically. One would have to posit a move that would be much greater than that reflected in the implied volatility of the underlying option which, paradoxically, actually happened. The VIX index went above 80, which is a number without any historical precedent. I wouldn't want to be the one to wager upon its recurrence, although it may well recur. It would be interesting to see if someone could design trades that would basically create a floor amount below which the position couldn't erode, and to profit from the decline if the market were to rise. It would be an interesting trade.

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

APPENDIX A

Money Manager Index

From Jan 1983 to Jan 2009															Annualized return	
Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Yr. End	Index	Yearly return	(since inception)
1983								1.00	0.81	0.76	0.87	0.75	1983	0.75	(60.5)%	(50.2)%
1984	0.75	0.71	0.70	0.66	0.67	0.67	0.61	0.83	0.79	0.76	0.67	0.65	1984	0.65	(13.5)%	(26.5)%
1985	0.92	0.93	0.99	0.95	1.20	1.30	1.32	1.38	1.28	1.50	1.86	2.02	1985	2.02	211.8%	33.7%
1986	2.46	2.78	2.47	2.31	2.36	2.33	2.03	2.23	1.98	2.37	2.34	2.34	1986	2.34	15.9%	28.2%
1987	3.21	3.27	3.16	2.55	2.37	2.30	2.39	2.47	2.22	1.56	1.44	1.52	1987	1.52	(35.0)%	9.9%
1988	1.80	1.87	1.78	1.79	1.69	1.94	1.92	1.96	2.01	1.97	1.95	2.07	1988	2.07	36.0%	14.3%
1989	2.42	2.37	2.54	2.63	2.64	2.64	2.93	3.12	3.07	3.05	3.23	3.26	1989	3.26	57.8%	20.2%
1990	3.12	3.15	3.53	3.06	3.47	3.45	3.30	2.70	2.68	2.40	2.52	3.02	1990	3.02	(7.3)%	16.1%
1991	3.08	3.49	3.70	3.68	3.71	3.61	3.86	4.05	4.07	4.69	4.47	5.72	1991	5.72	89.4%	23.0%
1992	5.76	5.61	5.30	5.12	4.98	4.99	5.93	6.06	6.19	6.56	7.25	7.36	1992	7.36	28.6%	23.6%
1993	8.06	8.04	8.20	7.94	8.15	8.57	9.05	10.00	9.99	9.31	8.97	8.90	1993	8.90	21.0%	23.4%
1994	9.52	8.73	8.05	7.85	7.81	7.53	7.66	8.31	8.15	8.52	7.88	7.95	1994	7.95	(10.6)%	19.9%
1995	7.74	8.38	8.72	8.77	9.20	9.35	9.93	10.78	11.22	10.53	10.89	10.40	1995	10.40	30.8%	20.8%
1996	11.12	11.50	11.33	11.62	11.86	12.53	11.91	12.36	13.32	14.03	14.42	15.02	1996	15.02	44.4%	22.4%
1997	16.04	16.81	15.32	17.27	18.42	20.29	22.28	21.39	25.31	24.95	24.95	25.50	1997	25.50	69.8%	25.2%
1998	25.67	29.00	29.89	30.60	28.90	30.44	27.67	21.33	21.74	25.16	27.27	25.41	1998	25.41	(0.4)%	23.3%
1999	26.00	23.71	23.92	26.77	28.94	29.74	28.78	26.74	25.89	27.73	28.54	30.55	1999	30.55	20.2%	23.2%
2000	31.07	31.19	36.01	35.60	35.20	40.32	43.58	45.75	45.62	48.69	44.05	49.84	2000	49.84	63.1%	25.2%
2001	50.23	46.41	44.27	46.96	48.90	49.98	50.67	49.70	46.47	44.81	48.04	51.91	2001	51.91	4.2%	23.9%
2002	53.62	53.74	55.11	52.52	52.83	50.48	42.58	44.92	41.54	42.66	45.78	43.17	2002	43.17	(16.8)%	21.4%
2003	42.72	41.18	42.36	45.98	49.02	50.71	53.47	53.97	53.46	56.12	55.83	58.49	2003	58.49	35.5%	22.1%
2004	64.38	65.08	64.63	61.68	60.86	62.30	58.71	64.08	65.73	68.86	73.53	78.16	2004	78.16	33.6%	22.6%
2005	76.46	77.94	74.06	72.83	77.02	80.25	83.59	83.07	86.03	89.19	96.58	97.35	2005	97.35	24.6%	22.7%
2006	107.62	111.44	110.75	111.88	101.89	100.61	100.62	104.98	114.61	116.64	113.78	118.05	2006	118.05	21.3%	22.6%
2007	125.73	123.77	122.62	127.58	133.57	134.68	126.61	124.07	133.57	148.09	135.13	135.56	2007	135.56	14.8%	22.3%
2008	127.53	115.76	115.94	121.58	130.51	115.68	119.94	120.55	109.69	72.70	62.95	67.91	2008	67.91	(49.9)%	18.1%
2009	57.51												2009	57.51	(15.3)%	17.2%

Name	Amount Invested	Name	Amount Invested
Affiliated Manager	\$ 22,947	Pzena Investment Mgt	\$ 122,426
Alliance	\$ 7,633		
BlackRock	\$ 23,205		
Waddell & Reed	\$ 27,513		
Eaton Vance	\$ 2,641		
T. Rowe Price	\$ 2,423		
Franklin resources	\$ 908		
Legg Mason	\$ 1,000		
Federated Inv	\$ 26,381		

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

APPENDIX B

International Money Manager Index

From Jan 1983 to Jan 2009														Annualized return		
Year	31-Jan	28-Feb	31-Mar	30-Apr	31-May	30-Jun	31-Jul	31-Aug	30-Sep	31-Oct	30-Nov	31-Dec	Yr. End	Index	Yearly return	(since inception)
1986											1.00	1.02	1986	1.02	10.0%	10.0%
1987	1.25	1.37	1.48	1.48	1.37	1.33	1.39	1.40	1.33	0.81	0.76	0.73	1987	0.73	(27.7)%	(23.3)%
1988	0.75	0.92	1.02	0.95	0.80	0.89	0.88	0.82	0.86	0.88	0.89	0.93	1988	0.93	26.4%	(3.4)%
1989	1.03	1.02	1.06	1.17	1.19	1.18	1.25	1.16	1.17	1.20	1.21	1.28	1989	1.28	37.8%	8.1%
1990	1.24	1.24	1.18	1.19	1.22	1.24	1.26	1.26	1.23	1.24	1.25	1.33	1990	1.33	3.7%	7.0%
1991	1.34	1.52	1.56	1.58	1.57	1.47	1.52	1.64	1.81	1.89	1.94	1.92	1991	1.92	44.8%	13.5%
1992	2.01	1.93	1.88	2.14	2.19	2.13	2.08	1.99	1.95	1.77	1.76	1.96	1992	1.96	1.9%	11.5%
1993	1.98	2.03	2.20	2.39	2.42	2.45	2.54	3.05	3.01	3.07	3.01	3.30	1993	3.30	68.7%	18.1%
1994	3.72	3.39	3.17	3.04	2.99	2.89	3.01	3.14	3.13	3.19	3.15	3.15	1994	3.15	(4.7)%	15.1%
1995	3.07	3.12	3.28	3.41	3.56	3.59	3.87	3.76	3.76	3.77	3.70	3.73	1995	3.73	18.6%	15.4%
1996	3.76	3.85	3.70	3.79	3.96	3.90	3.75	3.96	4.16	4.47	4.90	4.86	1996	4.86	30.3%	16.8%
1997	5.11	5.37	4.99	4.96	5.43	5.94	6.57	6.32	7.45	7.24	6.80	7.19	1997	7.19	47.9%	19.3%
1998	7.12	8.05	8.78	9.25	8.95	8.74	8.91	6.67	6.08	7.01	7.51	7.71	1998	7.71	7.3%	18.3%
1999	7.99	8.21	8.68	9.07	8.71	8.61	8.63	8.43	8.47	8.79	9.80	10.79	1999	10.79	39.9%	19.8%
2000	11.23	12.27	13.95	13.50	13.73	15.39	15.85	16.82	17.07	16.31	14.43	16.76	2000	14.43	33.8%	20.7%
2001	17.42	15.88	13.46	15.14	15.84	15.15	14.21	13.61	10.77	11.43	13.90	14.12	2001	14.12	(2.2)%	19.1%
2002	14.74	13.78	15.09	15.11	16.38	14.14	12.92	12.10	11.23	11.06	11.33	10.50	2002	10.50	(25.6)%	15.7%
2003	10.18	9.52	9.69	10.62	12.17	13.04	13.98	15.38	16.67	17.88	18.16	18.07	2003	18.07	72.1%	18.4%
2004	20.00	22.41	29.98	35.46	26.68	30.80	25.37	25.20	23.67	23.34	27.56	31.48	2004	31.48	74.2%	20.9%
2005	32.19	32.57	31.88	27.79	27.36	29.05	30.38	31.49	33.39	32.24	32.95	37.18	2005	37.18	18.1%	20.8%
2006	41.01	40.97	43.69	46.45	42.39	41.58	40.60	43.32	43.55	43.70	44.58	49.38	2006	49.38	32.8%	21.3%
2007	50.95	51.18	53.59	56.09	58.16	56.37	53.90	48.65	50.96	57.03	48.21	45.75	2007	45.75	(7.3)%	19.8%
2008	38.71	39.71	38.59	40.18	39.25	35.10	34.59	33.33	26.09	18.72	14.50	15.79	2008	15.79	(65.5)%	13.3%
2009	14.62												2009	14.62	(7.4)%	12.8%

Name	Amount Invested	Name	Amount Invested	Name	Amount Invested
IGM FINANCIAL INC	\$1,000	HENDERSON GROUP PLC	\$14,447	BLUEBAY ASSET MANAGEMENT/UNI	\$37,469
F&C ASSET MANAGEMENT PLC	\$1,203	RAB CAPITAL PLC	\$24,603		
INVESCO PLC (PREVIOUSLY AMVESC	\$1,357	AZIMUT HOLDING SPA	\$21,908		
SCHRODERS PLC	\$1,208	AUSTRALIAN WEALTH MANAGEMENT	\$27,789		
RATHBONE BROTHERS PLC	\$1,208	EVEREST FINANCIAL GROUP LIMITED	\$23,437		
ABERDEEN ASSET MGMT PLC	\$1,208	NEW STAR ASSET MANAGEMENT	\$27,700		
CI FINANCIAL INCOME FUND	\$2,585	CHARLEMAGNE CAPITAL LTD	\$36,848		
MAN GROUP PLC	\$2,862	PARTNERS GROUP-REG	\$36,848		
AGF MANAGEMENT LTD-CL B	\$3,343	INVISTA REAL ESTATE INV MNGT	\$36,589		
SPARX GROUP CO LTD	\$11,762	ASHMORE GROUP PLC.	\$36,688		